capital imported and how much it earns on the investment of foreign exchange reserves abroad.

Transfers from the Diaspora

Financial transfers are received from people of Indian origin settled abroad. The government also receives grant transfers from multilateral, bilateral and other institutions. Over the years, transfers from NRIs have grown substantially whereas grant receipts by the government have come down significantly.

In 2019–20, personal transfers, primarily from NRIs, amounted to $80.8 billion whereas non-Indians resident in India transferred only $5.1 billion, resulting in a net positive inflow of $75.7 billion to India. On the government account, there was a net negative grant inflow of $903 million with the Indian government transferring $1.01 billion and receiving only $156 million.

Primary and Secondary Income Made the Current Account Deficit Smaller

India's goods and services trade account resulted in a deficit of $72.8 billion in 2019–20. The country's primary income (sum of flows on account of compensation of employees and investment income, including on foreign currency reserves) was in a negative of $27.3 billion. India's secondary income (primarily on account of transfers by the Indian diaspora abroad) was in a positive of $75.3 billion. On aggregate, the current account was in a deficit of only $24.6 billion, or 0.86 per cent of GDP.

India's current account deficit at $24.6 billion in 2019–20 was lower than the deficit of $48.7 billion in 2017–18 and $57.2 billion in 2018–19.

India is a capital and technology-deficit country that exports a large amount of labour. This is mirrored in India's trade and current account.